

Refinancing Your Mortgage

When you refinance your mortgage, you take out a new loan at a lower rate or for a different term and use the proceeds to pay off the original mortgage. Most lenders require you to have at least 10 to 20 percent equity in your home before you can refinance.

When Does It Pay to Refinance?

How do you know if the difference in interest rates is enough to make refinancing worthwhile when you include the costs of closing on the new loan? The old rule of thumb was that interest rates should be at least 2 percentage points below your current rate, but the low-cost refinancing that many lenders now offer makes that guideline obsolete. Refinancing may make sense if you have a second mortgage or home-equity loan with a higher rate. You can save money by rolling both your first and second mortgages into one new loan with an overall lower rate. Refinancing also makes sense if you want to take advantage of lower interest rates to shorten the term of your loan, from thirty years to fifteen years, for example, for around the same monthly payment.

Sometimes refinancing doesn't make sense. If you've had your mortgage for more than ten years, for example, you could end up paying a lot more in interest by refinancing at a lower interest rate. That's because in the early years of a mortgage most of your payment goes toward interest and very little is applied to your principal balance. By the time you've been making payments for ten or more years, you've started to make some dents in the principal, and if you refinance with a new thirty-year loan, most of your payments will once again be interest. Consider not just the monthly payment, but also the total interest costs over the life of the loan added to the total interest costs you've already paid. Online calculators can help you quickly determine the total interest under different scenarios.
